



Purnima Programme: Opening Growth Opportunities for Local Businesses

The devastating earthquake of 2015 cost thousands of lives, and damaged infrastructure and livelihoods in Nepal. As part of the recovery effort, Mott MacDonald has been managing the Department of International Development UK programme of support to the Government of Nepal for building back better and supporting the recovery of livelihoods. The Purnima Programme covers four of the most-affected districts of Gorkha, Dhading, Nuwakot and Rasuwa through four components: strengthening local government, direct reconstruction of rural infrastructure, private sector development, and 'leave no one behind'.

Private Sector Development Component is contributing to the recovery of the local economy by increasing incomes, catalysing investment and creating jobs for women and men. We work with businesses including micro, small and medium enterprises (MSMEs). By extension of impact, our work benefits households and consumers including earthquake affected people. We adopt a market system development approach to foster systemic change, by changing behaviours of the stakeholders through carefully designed interventions based on deep market research and continued lesson learning.

The construction market system is growing at 7-8% per year, contributes about 20% to Nepal's GDP and employs poor men and women. However, MSMEs in this sector are unable to capitalise on the opportunity due to binding constraints including limited access to finance, difficult business environment, limited innovation and quality as well as shortage of adequately skilled labour. MSMEs have limited cash flow, do not plan ahead, lack business acumen, undertake adhoc business practices.

Our Work

We are working to address these constraints through our robust intervention portfolio, unleashing economic opportunities for businesses including women in business in the construction sector and beyond. By September 2019, we had reached 2,600 people, 80% of them earthquake affected persons and 35% women.

1. Promoting Access to Finance

We are helping develop an ecosystem of local service providers to sustainably offer an improved set of products and services to MSMEs. This is helping businesses improve business acumen, access credit at lower cost, become investment-ready, invest in their business, increase incomes, grow and create jobs. As a resultant, £270,000 of business finance had been mobilised and £350,000 additional income had been generated by September 2019.

2. Making it Easy to Operate for Businesses

The business environment in Nepal is not helpful for the MSMEs. The laws, policies and processes are old, archaic and complicated: the actual time and cost of business registration is typically seven times higher than the official estimates; entrepreneurs have to pay up to seven types of taxes and fees to the three layers of government; tax rates are arbitrary; and paying taxes is not convenient. Leveraging the ongoing federalisation process, we are focusing our intervention on simplifying business registration and paying taxes to reduce the burden of compliance for businesses.

3. Fostering Innovation and Quality

Adoption of new practices and technologies that are environmentally friendly, disaster risk resilient and can lead to economies of scale is critical. In the pilot phase of this intervention, we have identified SMEs with high growth potential who are keen to innovate and adopt new technologies and business practices. By making the businesses investment-ready and linking them to potential financiers and investors, this pilot is paving the way for scaling up the successful strategies, while supporting responsible business as well as responsible consumption, and ensuring that the sector is resilient and protects consumers against the impacts of climate change.

4. Women's Economic Empowerment (WEE)

The construction market system employs very few women in Nepal, except in very menial or supporting roles. All constraints faced by MSMEs are more pronounced for women in business. Additionally, they face challenges due to lack of voice and agency. Our interventions focus on improving women's economic resilience, by enhancing women's voice and agency including ability to take decisions and making strategic life choices. We use a WEE lens to reach women. To date, 35% of all beneficiaries reached are women and 15% of the new jobs created are for women, which is tilting the balance in favour of women in a sector where women were less represented previously.

Purnima is helping local businesses to grow

Constraints for Business Growth

Challenges in accessing finance



Low innovation and quality



I am an entrepreneur. I own a small block business. I want to grow my business but there are lot of challenges.



Cumbersome policies and procedures



Limited opportunities for women

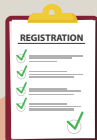
Purnima Helps Businesses

Help access finance & investment for business expansion



88 entrepreneurs obtain
£270,000 in credit
39 women

Improve business environment



Better information for tax & business registration
213 business formalised

Provide business skills



360 entrepreneurs get new skills
129 women

Purnima provided me information and skills to improve my business. It also linked me with bank for loan and introduced me to a network of female entrepreneurs. Together, we have better voice!



Businesses Change Behaviour



108 entrepreneurs change their business practices

Adoption of new technologies & innovative business model



Business & market expansion

Better & more products and services reach markets



Getting credit, paying taxes, registering business made easy

I am expanding my business and growing!



Product diversification



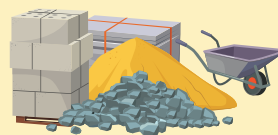
Reduction in transaction cost & legal procedural cost

Benefits for Households & Local Businesses

I am now able to earn profit from my business and have employed more people. I can make decisions now!!



2600 beneficiaries reached, & counting...



Households, earthquake victims have better access to quality materials

£350,000 additional income generated



367 new jobs created (direct & indirect)

We have jobs in our own locality.

